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How does "essential function" doctrine drive European mark trade law?

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[F Hoffmann La Roche & Co AG v Centrafarm Vertriebsgesellschaft Pharmazeutischer Erzeugnisse mbH \(102/77\) EU:C:1978:108; \[1978\] E.C.R. 1139; \[1978\] 5 WLUK 168 \(ECJ\)](#)

[Bayerische Motorenwerke AG v Deenik \(C-63/97\) EU:C:1999:82; \[1999\] E.C.R. I-905; \[1999\] 2 WLUK 399 \(ECJ\)](#)

[Gerolsteiner Brunnen GmbH & Co v Putsch GmbH \(C100/02\) EU:C:2004:11; \[2004\] E.C.R. I-691; \[2004\] 1 WLUK 52 \(ECJ \(5th Chamber\)\)](#)

[Arsenal Football Club Plc v Reed \(C-206/01\) EU:C:2002:651; \[2003\] Ch. 454; \[2002\] 11 WLUK 328 \(ECJ\)](#)

Legislation cited

[Regulation 40/94](#)

[Directive 89/104 art.2, art.3\(1\), art.5, art.6, art.7](#)

[Treaty of Amsterdam 1997 Art.28, Art.30](#)

**IIC 401 What Is the Essential Function of a Trade Mark?*

This article begins with a statement. It was not crafted by the author (though she wishes it had been). Instead, it is a formula that is often recited in one form or another by the European Court of Justice (ECJ):

The essential function of a trade mark is to guarantee the identity of origin of the marked goods or services to the consumer or end user by enabling him, without any possibility of confusion, to distinguish the goods or services from others which have another origin. For the trade mark to be able to fulfil its essential role in the system of undistorted competition which the Treaty seeks to establish and maintain, it must offer a guarantee that all the goods or services bearing it have been manufactured or supplied under the control of a single undertaking which is responsible for their quality.... For that guarantee of origin, which constitutes the essential function of a trade mark, to be ensured, the proprietor must be protected against competitors wishing to take unfair advantage of the status and reputation of the trade mark by selling products illegally bearing it. ¹

***IIC 402** This definition can be broken down into a number of elements:

1. A trade mark must identify the origin of the goods or services to which it is affixed.
2. By doing so it must enable consumers or end users to distinguish the goods or services on which it is used from those of other undertakings.
3. It must do this without any possibility of confusion.
4. For the guarantee of origin mentioned in point 1 to work, the trade mark owner must be protected against competitors wishing to take unfair advantage of the status and reputation of the trade mark by selling products illegally bearing it.

This article will examine the role of the "essential function" in European trade mark law, considering where it originated, how it is currently utilised and its future prospects.

What Are the Origins of the Essential Function?

The definition of the essential function can be traced back in the ECJ's case law to *Hoffmann-La Roche v. Centrafarm* and is cited, often *verbatim*, to this day. There the court stated, in almost identical words to the definition given above:

Regard must be had to the essential function of the trade mark, which is to guarantee the identity of the origin of the trade-marked product to the consumer or ultimate user, by enabling him without any possibility of confusion to distinguish that product from products which have another origin. This guarantee of origin means that the consumer or ultimate user can be certain that a trade-marked product which is sold to him has not been subject at a previous stage of marketing to interference by a third person, without authorisation of the proprietor of the trade mark, such as to affect the original condition of the product. ²

The case took place in the late 1970s, long before the harmonisation of European trade mark law. Its context was the need to balance (i) the free movement of goods that is necessary for the European

internal market to function with (ii) the protection of trade marks and other intellectual property rights by Member States' national laws in parallel importation situations.

What is now Art. 28³ of the EC Treaty states that "Quantitative restrictions on imports and all measures having equivalent effect shall ... be prohibited between Member States". Differences in trade mark protection between the various Member States can prevent goods from moving across national boundaries and as such could be classed as measures having an equivalent **IIC 403* effect to quantitative restrictions. In *Hoffmann-La Roche*, the claimant objected to the import into Germany of repackaged medicines bearing the trade marks "Roche" and "Valium" that had been produced by the British division of the claimant company. In doing so, it was seeking to use its German trade marks against goods that had the same trade marks legitimately affixed in the UK. This would stop products that were "legal" in the UK from being sold in Germany and therefore would impede the free movement of goods.

However, an exception is made in Art. 30⁴ of the EC Treaty, which states

The provisions of Articles 30 to 34 shall not preclude prohibitions or restrictions on imports, exports or goods in transit justified on grounds of ... the protection of industrial and commercial property. Such prohibitions or restrictions shall not, however, constitute a means of arbitrary discrimination or a disguised restriction on trade between Member States.

Thus, in certain circumstances, the protection of trade marks can "override" the free movement of goods. However, as *Hoffmann-La Roche* makes clear, this "override" is only applicable in a limited number of situations. Pointing in particular to the second sentence of Art. 30 EC, the ECJ stated that, while the Treaty does not affect the *existence* of industrial and commercial property rights (including IP rights) under national law, it may, depending on the circumstances, circumscribe their *exercise*. In other words, the existence of a trade mark owner's trade mark is safe, but he may not have *carte blanche* in choosing how he uses it. In fact, because Art. 30 is an exception to the fundamental principle of free movement of goods, it must be construed narrowly. Accordingly, an IP owner can only use his IP right to trump free movement when the use safeguards the *specific subject-matter* of his IP right. The notion of IP rights having a specific subject-matter that "overrides" free movement is one that the ECJ has utilised for all the major IP rights. However, this article will go on to consider only trade marks.⁵

It is here that the essential function becomes relevant. While the specific subject-matter of a trade mark encompasses the rights conferred on the trade mark proprietor, the essential function of a trade mark covers the role that those rights play from the point of view of consumers.⁶ Thus, they are "two **IIC 404* sides of the same coin".⁷ This can be seen from careful scrutiny of the definitions given of the two subjects by the ECJ in *Hoffmann La-Roche*. The specific subject-matter of trade mark is said to be:

In particular to guarantee *to the proprietor of the trade mark* that he has the exclusive right to use that trade mark for the purpose of putting a product into circulation for the first time and therefore to protect him against competitors wishing to take advantage of the status and reputation of the trade mark by selling products illegally bearing that trade mark.⁸

However, the essential function of a trade mark is

To guarantee the identity of the origin of the trade-marked product *to the consumer or ultimate user*, by enabling him without any possibility of confusion to distinguish that product from products which have another origin. This guarantee of origin means that the consumer or ultimate user can be certain that a trade-marked product which is sold to him has not been subject at a previous stage of marketing to interference by a third person, without the authorisation of the proprietor of the trade mark, such as to affect the original condition of the product. [Emphasis added in both cases.]⁹

Incidentally, this explains why the ECJ has tended to stop at defining the specific subject-matter of IP rights other than trade marks. While the consumer perception on which the essential function of a trade mark is based is crucial to the trade mark system, it is irrelevant to other IP rights. Instead, what is most important is what the grant of the right provides to its proprietor, which is the focus of the specific subject-matter.

This distinction closely follows one made by Friedrich-Karl Beier¹⁰ in an article that was cited by the Advocates General in both *Hoffmann-La Roche* and the earlier *Terrapin* case.¹¹ Like the ECJ, he distinguishes between the positive role of a trade mark, *i.e.* its essential function, and its negative role, *i.e.* the rights that it gives to its proprietor to restrain the activities of other **IIC 405* economic operators. The latter, encompassed in the specific subject-matter spelled out by the ECJ, is what Beier terms the "purpose" of a trade mark.

According to Beier's definition, the "function" of a mark is "to distinguish the goods of one manufacturer from the goods of another"¹² and to "identify the origin of the goods with a particular company". Its "purpose" is that "the trademark owner is protected by his statutory right only against unfair use of his trademark on the goods of others. This right shall prevent others from causing confusion as to the origin of the goods and thereby taking unfair advantage of the goodwill embodied in the trademark."¹³

In some ways one could read the "essential function" as being restrictive of the scope of trade marks because it is laying down the limit of the "legitimate" ways in which a trade mark can be exercised, at least in an EU law context. However, as Beier points out (in a later article),¹⁴ it in fact widens the role of trade marks to an extent in recognising that trade marks actually *do* have a legitimate function, something that the ECJ seemed to be in some doubt over in earlier cases.¹⁵ In fact, there could be little doubt that this was the case following the passing into law of EU-level trade mark legislation in the form of the Trade Mark Directive¹⁶ and the Community Trade

Mark Regulation.¹⁷ In the process though, the essential function became detached from its free movement roots.

Do Trade Marks Have an Inessential Function?

Without a doubt, indicating the origin of the goods or services to which they are affixed is crucial to the way that trade marks function in the market. However, trade marks often have other roles.¹⁸ For example, consumers may view them as a guarantee of quality, taking the view that every product bearing a specific trade mark should be of the same quality.¹⁹ Alternatively, **IIC 406* trade marks may become status symbols that stimulate purchases independent of the quality of the product and super-brands which possess advertising value. However, the pioneers of the "essential function" test in the EU were against giving these other functions trade mark protection.

While Beier acknowledged the existence of trade mark functions relating to quality and advertising, he labelled these as solely "economic functions" rather than as additionally being legally recognised functions.²⁰ At the time, they were not legally protected under trade mark law²¹ and, in any event, he argues that they have no independent legal significance because they are both derived from consumers' knowledge of the identity of the origin of the goods.²²

Beier identified one exception to this position: the prevention of dilution does not fall within the essential function since no deception as to origin is necessary. Beier then argues that such cases are exceptional and in the past have been decided under unfair competition law and the law of torts.²³ However, this conclusion is at least partially open to doubt: if a mark is made less distinctive by being used in a diluting fashion, that mark will be less able to identify accurately the origin of the original user's goods to the consumer. In this way, diluting uses of marks attack the ability of trade marks to fulfil their essential function on the market.²⁴ A better example would be the protection currently accorded within the EU against any use by third parties that takes unfair advantage of their distinctive character or **IIC 407* reputation.²⁵ However, it is hard to see how the fact that a benefit accrues to such third parties through using a trade mark (which is what unfair advantage is aimed at) could, of itself, have any effect on the ability of a mark to identify the original user of the mark.

The argument that the quality guarantee function of a mark should be protected was also rejected in *Hoffmann-La Roche* by the Advocate General, who drew heavily on Beier's article. Though he recognised that certain Member States protect ancillary functions of trade marks, this would only be acceptable within the EU law arena if there was no conflict between those ancillary rights and the free movement of goods.²⁶ However, rights going beyond the essential function could be protected for the proprietor of a mark covered by a single trade mark system for the whole European Community (which was then very much in its draft stages). Such rights would be uniformly applicable throughout the whole EU and could not therefore be used to partition the EU market in a way that would impede the free movement of goods.²⁷ This system now exists in the

form of the Community trade mark and, to a lesser extent, the Trade Mark Directive, which has harmonised the trade mark rights available in all of the Member States so there should be fewer free-movement-of-goods-based objections to the protection of "inessential" ancillary functions.

The issue of whether trade marks have other functions and, if so, whether they should be protected, should be distinguished from the further question of whether there are other interests at play that would prevent the recognition as trade marks of signs that are capable of fulfilling the essential function. The answer to this is undoubtedly yes. Even where a mark is capable of identifying the origin of goods or services, there may be other valid reasons for preventing their registration -- for example marks that are distinctive but also contain immoral content or cannot be sufficiently clearly graphically represented on the trade mark register.

What Is the Function of the Essential Function?

The role that trade marks play in EU law has changed radically since Beier's article was published and *Hoffmann-La Roche* was decided. At the time of *Hoffmann-La Roche*, trade marks were only relevant as an exception to free movement and, as a result of their status as a derogation, had to be narrowly construed. Now, however, the legitimate role of trade marks has been recognised in the very existence of the Community Trade Mark Regulation and the Trade Mark Directive.²⁸ Both of those legal instruments recognise the **IIC 408* importance of trade marks and give the European Union a central role to play in their administration. Nevertheless, the *Hoffmann-La Roche* definition of the essential function of a trade mark is routinely cited by the ECJ and other relevant bodies to justify the way in which EU trade mark instruments are interpreted. This part of the article will examine (i) how the essential function has influenced the scope of EU trade mark law, with reference to a number of the basic elements of the trade mark system, and (ii) whether a definition that was formulated at a time when trade marks played a very different role in the EU system, and which has been severed from its free movement of goods background, is a suitable tool for shaping contemporary EU trade mark law.

What Is a Trade Mark?

Article 2 of the Directive sets out the fundamental criteria required for a sign to be registrable as a trade mark.²⁹ Signs that do not meet those criteria are barred from registration under Art. 3(1)(a). As well as being capable of being graphically represented, a sign must be capable of distinguishing the goods or services of one undertaking from those of other undertakings. This second requirement of capacity to distinguish perfectly mirrors the essential function, meaning that no trade mark will be registrable unless it is able to fulfil the essential function of a trade mark. This has been acknowledged by the ECJ. One of the clearest examples of this can be found in *Merz & Krell*, where the Court stated:

That essential function of trade marks has been incorporated by the Community legislature into Article 2 of the Directive, which provides that signs which are capable of being represented

graphically may only constitute a trade mark if they are capable of distinguishing the goods or services of one undertaking from those of other undertakings.

Accordingly, signs or indications that are not capable of fulfilling the essential function of a trade mark cannot enjoy the protection conferred by registration.³⁰

Distinctiveness and Descriptiveness

The ECJ has stated that the various grounds for refusal of registration listed in Art. 3 of the Directive must be interpreted in the light of the public interest underlying each of them.³¹ This means that, in so far as the reason **IIC 409* for the existence of any of those grounds is to ensure that trade marks can fulfil the essential function, the scope of those grounds must be determined in the light of the demands of the essential function. The most heavily used of the absolute grounds are lack of distinctiveness (Art. 3(1)(b)) and descriptiveness (Art. 3(1)(c)).

In *Baby-Dry*, the court stated that the purpose of both provisions taken together is to ensure that trade marks that cannot "fulfil the function of *identifying the undertaking* that markets them" because they are no different from the usual way of identifying the relevant goods or services and their characteristics cannot be registered.³² This suggests that the reason for the existence of both Art. 3(1)(b) and 3(1)(c) is to ensure that only marks that can fulfil the essential function of identifying the origin of the goods on which they are used can be registered. This was not an uncontroversial proposition at the time because the earlier case of *Windsurfing Chiemsee* suggested that the public interest behind Art. 3(1)(c) was to ensure that signs that other traders may have needed to make use of were kept free for them to use. The distinction is important because the article must be interpreted in the light of whichever is its true rationale, enabling that rationale to shape its scope.

In one of the later cases on descriptiveness, *Doublemint*, the ECJ has compromised. Although it has found that the public interest behind the descriptiveness provision lies with keeping certain signs free for other traders to use, it also recognises that descriptive signs are "deemed incapable, by their very nature, of fulfilling the indication-of-origin function of the trade mark".³³ In that case though, the court went on to consider the requirements needed to keep signs free, rather than those imposed by the essential function.

Article 3(1)(b) is the "flip-side" of Art. 2. While Art. 2 states that a mark must be capable of distinguishing between the goods of different undertakings, Art. 3(1)(b) says in effect that signs that are *incapable* of distinguishing between the goods of different undertakings cannot be registered. Therefore, it is not surprising that the European Union courts have taken a similar approach to interpreting the two articles, awarding the essential function pride of place in each of them.

As is the case with Art. 2, the Court of First Instance (CFI) has said that marks that are devoid of distinctive character under Art. 3(1)(b) constitute those which cannot exercise the essential function.³⁴ It, and the ECJ, then go on to consider how well the sign in question can enable consumers to distinguish between the goods of different undertakings, *i.e.* to use the **IIC 410* indicia in question in line with the essential function. This analysis is undertaken from the point of view of the consumers and in relation to the goods or services for which the application is made. If the applied-for sign cannot do the job outlined in the essential function, for example, because

- (i) it is too difficult for consumers to accurately recall next time they are confronted with a choice between the would-be trade mark owner's sign and the goods of other undertakings;
- (ii) it is practice in the trade in the goods in question to use that type of sign as a decorative feature of the goods rather than as an indication of origin;³⁵ or
- (iii) consumers are not accustomed to using that sort of sign as a means of identifying the origin of the goods,³⁶

it will be barred from registration under Art. 3(1)(b). In other words, the courts start with the essential function and test the applied-for sign against its ability to fulfil that function.³⁷ This means that each of the factors that the courts identify as relevant under Art. 3(1)(b) relate back directly to the essential function.

Customary Use in the Language or in Trade

The essential function has been used to define the scope of the bar to registration based on genericity. Under Art. 3(1)(d) of the Directive, signs cannot be registered if they "consist exclusively of signs or indications which have become customary in the current language or trade practices". The question before the ECJ in *Merz & Krell*³⁸ was whether the test had to be conducted in the abstract or in relation to the goods or services for which the mark was to be registered. The ECJ stated that Art. 3(1)(d) also had the purpose of preventing the registration of marks that could not distinguish the goods of one undertaking from those of other undertakings, *i.e.* those signs that are incapable of performing the essential function. Because the question of whether signs can distinguish in this way cannot be considered in the abstract, the question of whether signs are customary in the language or trade practices also could not be considered in the abstract. Thus the essential function has played a decisive role in determining the scope of the EU customary use exception to registration.

The same trend is also apparent in the ECJ's recent *Björnekulla*³⁹ decision. The question was whether, for the purposes of Art. 12(2)(a) (the revocation **IIC 411* equivalent of Art. 3(1)(d)), when a product is handled at several stages before it reaches the consumer, the relevant public for determining if the trade mark in question has entered customary usage consists of end-users or those in the trade. The essential function was at the core of the reasoning that led to the ECJ's

answer. As well as examining the different language versions of the article, the court noted that the essential function of a mark is defined as to guarantee the origin of the marked goods or services to the *consumer or end-user*. Therefore, it is the perception of consumers and end-users that plays the decisive role under Art. 12(2)(a). However, this did not mean that the perceptions of those in the trade were wholly irrelevant because the role of those in the trade is to detect and anticipate the demand of consumers and end-users.⁴⁰ Again though, this inclusion of the trade is a direct result of the use of the essential function, because it is justified by reference to traders' impact on, and involvement with, those to whom the essential function is addressed.⁴¹

Acquired Distinctiveness

Even if a mark is inherently descriptive or lacking in distinctiveness under Art. 3(1)(c) and 3(1)(b), or if it is customarily used in the trade under Art. 3(1)(d), it may still be registered under Art. 3(3) if it has acquired distinctive character through use. This strongly reflects the central role of the essential function because the message is that, if a proprietor uses his mark in a way that enables consumers to use it to identify the origin of his goods and distinguish those goods from those of other undertakings, he will be rewarded with a monopoly for those goods in a mark that would otherwise be barred from registration.

Identical Marks

Under Art. 5(1)(a) of the Trade Mark Directive, infringement will be found without the need to show anything else, such as confusion, where the two parties' marks are identical and when their goods or services are identical. In *LTJ Diffusion v. Sadas*⁴² the ECJ determined that the situations in which two marks can be considered to be identical must be construed strictly, basing its decision on the essential function of a trade mark. It was pointed out that infringement protects the guarantee of origin that is the essential function of a trade mark. Under Art. 5(1)(b), the essential function only requires protection when there is confusion. However, the protection afforded by Art. 5(1)(a) is absolute. To avoid the protection offered by Art. 5(1)(a) encroaching on the territory that belongs to Art. 5(1)(b) (similar marks situations), according to the ECJ, the identity of signs must be interpreted strictly. The idea implicitly behind this is that wider protection than is necessary under Art. 5(1)(a) will grant mark proprietors protection that is wider than that which they need to guarantee the essential function of their marks.

"Use in the Course of Trade" and "Trade Mark Use"

In defining infringement, Art. 5 states that for each of the three species of infringement there must be "use in the course of trade". Many have read this as imposing a requirement that the defendant use his sign as a trade mark ("trade mark use" for short). Trade mark use is taken to mean use that indicates the origin of the goods on which the mark is used. This would mean that certain types of use that do not indicate origin would not be considered infringement, even if the use by the

defendant was on goods identical to the claimant's. Both requirements were considered in *Arsenal v. Reed*,⁴³ a UK High Court case that was referred to the ECJ and still remains controversial.

The ECJ⁴⁴ identified two possible positions that could be taken in deciding whether trade mark use is necessary. On the one hand, Art. 5(1)(a) could be read as entitling the trade mark proprietor to prohibit *any* use by a defendant of an identical mark on identical goods. On the other hand, the provision could be read more restrictively. By this approach, infringement would only occur if a specific interest of the proprietor was under threat because the defendant's actions were likely to affect one of the functions of the mark. Such an approach recognises that trade mark rights are not absolute.

The court adopted the second position, saying:

The exclusive right under Article 5(1)(a) of the Directive was conferred in order to enable the trade mark proprietor to protect his specific interests as proprietor, that is, to ensure that the trade mark can fulfil its *functions*.⁴⁵ The exercise of that right must therefore be reserved to cases in which *a third party's use of the sign affects or is liable to affect the functions of the trade mark, in particular its essential function of guaranteeing to consumers the origin of the goods*⁴⁶

and

***IIC 413** The proprietor may not prohibit the use of a sign identical to the trade mark for goods identical to those for which the mark is registered if that use cannot affect his own interests as proprietor of the mark, having regard to its *functions*.⁴⁷ [Emphasis added in both cases.]

In other words, the court defined trade mark infringement by reference to the way a trade mark functions, particularly its essential function. Only use that has an effect on a trade mark's functions can be considered infringement, the paradigm example being use that has an effect on the mark's *essential* function -- a mark's guarantee of origin. It was said that since purely descriptive uses do not affect a proprietor's interests, having regard to a mark's functions, such purely descriptive use does not fall within the definition of infringement under Art. 5(1).

The ECJ proceeded to adumbrate the protection that must be granted to a trade mark owner in order for him to preserve the ability of his mark to fulfil the essential function:

For that guarantee of origin, which constitutes the essential function of a trade mark, to be ensured, the proprietor must be protected against competitors wishing to take unfair advantage of the status and reputation of the trade mark by selling products illegally bearing it (*see, inter alia, Hoffmann-La Roche*, paragraph 7, and Case C-349/95 -- *Loendersloot* [1997] ECR I-6227, paragraph 22).⁴⁸

At first this statement seems oddly out of place in the case. The suggestion is that use that takes unfair advantage of an earlier mark will affect the earlier mark's ability to identify the origin of

the claimant's goods. Quite how use that benefits the defendant will affect the claimant's mark's ability to denote the origin of his goods is not explained and is not intuitively obvious. However, the relevance of this statement becomes clearer if one thinks back to *Hoffmann-La Roche*. In the quote from *Arsenal v. Reed* above, the ECJ has taken the definition of the specific subject-matter of a trade mark, a concept that is hardly ever explicitly mentioned under the Directive case law, and cited it out of context. This is confusing because, while the essential function is defined from the consumer's point of view, the specific subject-matter is defined from the point of view of the proprietor of the mark and need not therefore be defined by reference to the perception of consumers. This explains the seeming mismatch highlighted above.

Confusion

There is an obvious link between infringement of the sort spelled out in Art. 5(1)(b) of the Directive (identical/similar goods + identical/similar signs + confusion = infringement). If defendants are able to use their signs in a way that causes confusion with registered trade marks, consumers will no longer be able to use those registered marks to distinguish between the goods of **IIC 414* different undertakings because the information that they give about the origin of the goods on which they are used will be corrupted and unreliable. This is reflected in the emphasis placed on confusion in the *Hoffmann-La Roche* definition of the essential function: "To guarantee the identity of the origin of the trade-marked product to the consumer or ultimate user, by enabling him *without any possibility of confusion* to distinguish that product from products which have another origin." ⁴⁹ (Emphasis added.)

Confusion is given as the only example of an activity that can be detrimental to the essential function. The relationship between confusion and the essential function is also emphasised in the Tenth Preamble to the Trade Mark Directive:

Whereas the protection afforded by the registered trade mark, the function of which is in particular to guarantee the trade mark as an indication of origin, is absolute in the case of identity between the mark and the sign and goods or services; whereas the protection applies also in case of similarity between the mark and the sign and the goods or services; whereas it is indispensable to give an interpretation of the concept of similarity in relation to the likelihood of confusion.

This implicitly suggests that, where both the marks and the goods of the two parties are identical, nothing further is needed for the essential function to be compromised but that, where the goods and/or signs are only similar, the essential function is only in need of protection where there is a likelihood of confusion.

In *Canon*, the essential function was used to widen the European definition of infringement. The importance of trade marks in the systems of distorted competition was highlighted. For trade marks to fulfil that function, they must offer a guarantee that all the goods or services bearing them have originated under the control of a single undertaking which is responsible for their quality. This guarantee of course is a result of the essential function and will not work if consumers are confused

about the origin of the goods. This compromising of the essential function will occur, according to the ECJ, not only when consumers are confused about the physical place of production of the goods or services but also when consumers wrongly believe that the goods or services in question come from the same undertaking or even economically linked undertakings.⁵⁰

Dilution

The relationship between the essential function and dilution-type infringement has been discussed above.

**IIC 415 Defences*

EU trade mark law provides defences to infringement in Arts. 6 and 7 of the Directive. Article 6 allows a defendant to make what would otherwise be infringing use of another's trade mark where it is (a) the defendant's own name or address; (b) use to describe the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of goods or of rendering of the service, or other characteristics of goods or services, or (c) where it is necessary to indicate the intended purpose of a product or service, in particular as accessories or spare parts. In all these cases there is a proviso that he must use them in accordance with honest practices in industrial or commercial matters. Article 7 provides an exhaustion defence: a trade mark owner cannot prohibit the use of his trade mark in relation to goods that have been put on the market in the Community under that trade mark by the proprietor or with his consent. For example, if a mark owner puts his goods on the market in England and a third party imports them to France and begins to sell them there under the trade mark, the trade mark owner cannot use his French trade mark rights to prevent their sale in France. However, under Art. 7(2), exhaustion does not apply where there exist legitimate reasons for the proprietor to oppose further commercialisation of the goods, especially where the condition of the goods is changed or impaired after they have been put on the market.

It is in the field of defences that the conflict between the free movement of goods and trade mark rights that led to the ECJ's initial definition of the essential function is most prominent within the EU trade mark system. This is unsurprising in the case of exhaustion because *Hoffmann-La Roche* was an exhaustion case. However, this was a less obvious course for the law to take in the case of the Art. 6 defences.

Exhaustion

The essential function has had both a widening and narrowing effect on the scope of exhaustion under Art. 7. The principle of exhaustion is a trade-off between facilitating the free movement of goods and protecting the essential function of trade marks. Free movement requires that the goods that have been placed on the market in one Member State should be freely allowed to circulate in other Member States without impediment. However, the ECJ has recognised⁵¹ that trade mark owners' rights must be respected and that mark owners must be allowed to use their rights in accordance with their specific subject-matter. This is because of the important role that trade marks

play in a system based on free competition. This role rests on them fulfilling *inter alia* the essential function. At the same time, those rights must not be used to artificially partition the EU market. Thus, a trade mark owner may not use **IIC 416* his rights beyond their specific subject-matter. As a result of this, a trade mark owner cannot oppose the resale of his products even if they have been repackaged because this would restrict the ability of those products to reach the market and would have a detrimental effect on the free movement of goods, in a situation where there is no damage to the essential function of the trade mark. In this way, the essential function is part of a to-ing and froing, first ensuring that trade mark rights are not ignored in the context of parallel imports, but then narrowing down how such trade mark rights can be used.

Nevertheless, it is recognised that, in some situations, repackaging may be at odds with the essential function of the trade mark. This will be the case where there has been a change to the condition of the goods in the course of repackaging by a third party. In that situation the consumer or end-user cannot be certain that a trade marked product offered to him has not been subject at a previous stage of marketing to interference by a third person, without the authorisation of the trade mark owner, in such a way as to affect the original condition of the product. Thus, in the interests of preserving the essential function, trade mark trumps even the delicate balance made between free movement and trade mark rights in "ordinary" exhaustion cases.⁵²

Article 6 Defences

The balance between the role of trade marks and the need to facilitate the free movement of goods that was so central in *Hoffmann-La Roche* has also played a leading role in the two Art. 6 defence cases to come before the ECJ: *BMW v. Deenik*⁵³ and *Gerolsteiner*.⁵⁴ There are a number of possible explanations for this. First, when a defendant uses a mark descriptively, in order to notify consumers of his name or address or in any of the other ways envisaged by Art. 6, he often will not be using that mark to identify the origin of his goods, *i.e.* that mark will not be used in accordance with the essential function. Nonetheless, such use by a defendant can still weaken the ability of the *mark owner's* mark to fulfil the essential function by making it less distinctive on the market, thereby diminishing its ability to be used by consumers to distinguish the mark owner's goods from those of other undertakings.

In *Gerolsteiner*, although the ECJ paid lip-service⁵⁵ to the need to balance free movement with the protection of trade mark rights, the court's decision was heavily tilted in favour of free movement. The availability of defences was construed as widely as possible, to apply not only when signs are used descriptively but also when they are used as a trade mark,⁵⁶ *i.e.* in accord **IIC 417* ance with the essential function to indicate the origin of his goods. In fact, the result of *Gerolsteiner* reads rather like a frontal assault on the essential function because the ECJ decided that the use of a sign by a defendant in a way that causes confusion with a mark-owner's mark may come within the scope of the defences.⁵⁷

The emphasis on free movement in *Gerolsteiner* can perhaps be explained by the circumstances of that case, and of *BMW*, which the ECJ relied on particularly in *Gerolsteiner*.⁵⁸ It is therefore possible that further defence cases (there have, after all, been only two such cases before the ECJ) will have a different emphasis. The outcome of *Gerolsteiner* will have a great impact on the free movement of goods. Opening up the defence to the defendant enabled goods that had been put on the market in one Member State (Ireland) and which coincidentally conflicted with a German trade mark to gain access to the German market. It was particularly important to ensure free movement in this way because the possibility of coincidental conflicts between marks originating in different Member States is set to increase with enlargement of the European Union.

BMW was also a case with a free movement background. Two uses of the mark-owner's mark by the defendant were at issue. The first was the use of the mark for advertising the resale of second-hand BMWs. The ECJ found that this was in principle permissible by applying an exhaustion defence under Art. 7 of the Directive.⁵⁹ As discussed above, exhaustion has as its guiding principle the need to balance free movement with the need to protect the essential function of a trade mark. It was in the context of the defendant's second use of the mark, this time to inform the public that he repaired BMWs, that the Art. 6 defences arose. The ECJ ruled that, since the exhaustion defence did not apply to services, the applicability of Art. 6 had to be considered. Nonetheless, in interpreting what can be considered to be "in accordance with honest practices" under Art. 6, the ECJ stated that the considerations that applied when determining legitimate reasons for a trade mark owner to oppose exhaustion under Art. 7(2) applied to the "in accordance with honest practices" element of Art. 6.⁶⁰ In this way, the ECJ transposed exhaustion law, with its inherent free movement background, into the defences.

A more radical explanation of the greater role of free movement and of the correspondingly diminished role of the essential function in the Art. 6 cases is possible. The enforcement of rights in trade marks is an exception to the free movement of goods. However, the defences provide an exception to the enforcement of trade marks. Accordingly, construing the defences widely *de facto* facilitates goods to move more freely. This means that there is a good **IIC 418* reason for the European institutions to build a link between the defences and the principle of free movement.

Has the Essential Function Had a Stultifying Effect on the Development of EU Trade Mark Law?

It might be assumed that the use of a doctrine that developed as part of an attempt to balance trade marks with free movement and to limit their effect within the EU system would have a negative effect on the development of the EU trade mark system. From the analysis above, though, it appears that, for the most part, this has not been the case. The discussion above points to a coherent system that is mostly focused on the defining characteristic of a trade mark. This is probably because, in expressing the essential function, the court in *Hoffmann-La Roche* focused on what is universally acknowledged to be the core of the way in which trade marks function: their ability to allow consumers to distinguish between the goods of different undertakings.

The strongest criticism of the ECJ's continued reliance on the essential function does not really rest on the nature of the essential function itself. Instead, the fact that the statement of the essential function in *Hoffmann-La Roche* is in a neatly packaged, easily quotable format has meant that the ECJ has sometimes been lazy in the way that it has used it.⁶¹ In some cases it has stated what the essential function is and has then stated that, because of the essential function, the law must be interpreted in the way that the court states, without sufficiently explaining how the essential function leads to this result. This is not helpful when it comes to predicting the outcome of future cases and in assessing the impact that the essential function will have on other aspects of trade mark law.

Of course, it is almost impossible to say how EU trade mark law would have developed without the notion of the essential function, or whether the end result would have been better, more up-to-date or more suited to market conditions. Probably because Beier and the Advocate General in *Hoffmann-La Roche* displayed antipathy to the advertising function of trade marks and their use by consumers as a guarantee of consistent quality, not to mention the subsequent omission of these features from the statement of the essential function in the ECJ's decision in *Hoffmann-La Roche*, they have been largely absent from the ECJ's case law. We can get some inkling of how European trade mark law would have developed in the absence of the *Hoffmann-La Roche* statement of the essential function, though, from the decisions of the Court of First Instance, which is responsible for appeals on registration matters concerning Community trade marks. That court often uses tests that it formulates in preference to those of the ECJ and it has expressed its own statement of the function of a mark which includes the guarantee function.

***IIC 419** This can be seen for example in the *Real People, Real Solutions* case in which the CFI said that the essential function is that of "identifying the commercial origin of the goods or services, thus enabling the consumer who purchased them to repeat the experience if it proves to be positive, or to avoid it if it proves to be negative, on the occasion of a subsequent acquisition."⁶²

The ECJ itself recognised the advertising function on one occasion in *Dior v. Evora*, where it acknowledged the actionability under trade mark law of damage to a mark's reputation through its use in advertising for the resale of those goods that is unsuitable, for example, because it detracts from the luxury image of the goods.⁶³ Additionally, the EU legislature has recognised the importance of the advertising function by prohibiting dilution-type infringement under Art. 5(2) of the Directive, though this acknowledgement does not seem to have had much of an impact on the ECJ's interpretation of other aspects of trade mark law.

However, there is one area in which the *Hoffmann-La Roche* definition of the essential function has caused trade mark law to grow in a direction in which it would not have done in a different context: that is its application to the Art. 6 defences. While it was inevitable from its very nature that the doctrine of exhaustion would be defined in terms of the clash between free movement and trade mark rights, the same is not the case for the Art. 6 defences. Nevertheless by seeing those defences as part of a balance between free movement and trade mark rights, the ECJ has given

those defences a particularly wide interpretation, arguably at the expense of trade mark owners. Whether this trend will continue when more Art. 6 cases reach the ECJ remains to be seen.

It is also worth highlighting that the use of the essential function in *Björnekulla* could have had a stultifying effect if, because the essential function only explicitly talks about the origin guarantee being addressed to consumers and end users, the ECJ had said that only consumers and end-users were relevant to the question of whether a mark had become customary. This would have involved ignoring the crucial role that traders play on the market. However, the court wisely managed to deploy the essential function in a way that allowed it to pay attention to the interests of traders. It is yet to be seen whether the fact that the essential function caused the ECJ to put the primary emphasis on the perceptions of consumers will allow sufficient scope for traders' perceptions to be considered.

A Grand Unifying Theory?

As has been demonstrated above, the essential function has fundamentally influenced the development of the central tenets of trade mark law. In this way, it acts as a "grand unifying theory" bringing together all of the aspects of trade mark law, by reference to the need for a trade mark to distinguish the goods of one undertaking from those of other undertakings.⁶⁴ This makes perfect sense because what is required of a trade mark and how it can be used by its proprietor is regulated by reference to what the mark should be doing. This in turn ensures that trade marks continue to do what, as a matter of principle, they should be doing.

The Essential Function as a Predictive Tool

If the essential function does act as a grand unifying theory, it should be possible to use it to predict the outcome of future controversial trade mark issues. Where there is a dispute over the meaning of a provision of EU trade mark law, the meaning that best reflects the essential function of a trade mark should be adopted. However, certain pitfalls should be borne in mind:

-- Sometimes the essential function suggests two possible interpretations of the provision in question. This was the case for example in the case of trade mark use in *Arsenal v. Reed* (discussed above).

-- In the field of infringement, other functions for trade marks have been recognised. For example the advertising function has been recognised in *Dior v. Evora* and Art. 5(2) of the Directive. Therefore it is too simple to state that effect on the essential function equals infringement, no effect on the essential function equals no infringement.

-- In the field of registrability, certain other interests are also at play, e.g. the need to maintain an efficient and accessible register, the desire to prevent entities from committing undesirable acts (such as the registration of immoral trade marks or registration in bad faith) and the need to keep

certain signs free for other traders to use. Therefore, it cannot always be assumed that a sign that is capable of acting in accordance with the essential function will be granted registration.

-- Other interests may also be at play more generally within the trade mark system, such as the political interests of the EU (particularly on the issue of international exhaustion). It may be necessary to look further than the essential function in these areas.

Nonetheless, as this article has sought to demonstrate, the essential function should be the first port of call when interpreting European trade mark law.

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Footnotes

- 1 This particular expression of the essential function is taken from paras. 48 and 50 of the ECJ's recent decision in Case C-206/01 -- *Arsenal Football Club plc v. Matthew Reed* [2003] ETMR 19, 34 IIC 542 (2003).
- 2 Case 102/77 -- *Hoffmann-La Roche & Co AG and Hoffmann-la Roche AG v. Centrafarm Vertriebsgesellschaft Pharmazeutischer Erzeugnisse mbH* [1978] ECR 1139, 9 IIC 580 (1978), para. 7, although ideas about the role of trade marks analogous to the essential function were being mooted in earlier cases, such as the "basic function" of a trade mark discussed in Case 119/75 -- *Terrapin v. Terranova* [1976] ECR 1039, 7 IIC 520 (1976).
- 3 At the time of *Hoffmann-La Roche*, Art. 30.
- 4 Then Art. 36.
- 5 For a definition of the essential function of patents see Case 15/74 -- *Centrafarm v. Sterling Drug* [1974] ECR 1147 paras. 8 and 9; for copyright see the ECJ's discussion of the CFI's decision in Joined Cases C-241/91 and C-242/91 -- *RTE and ITP v. Commission (Magill)* [1995] ECR I-743, 27 IIC 78 (1996), para. 28 and Joined Cases C-92/92 and C-326/92 -- *Phil Collins* [1993] ECR I-5145, para. 20; for design rights see Case 238/87 -- *Volvo v. Veng* [1988] ECR 6211, 20 IIC 64 (1989), para. 8. See generally ANDERMAN, "EC Competition Law and Intellectual Property Rights: The Regulation of Innovation" 8-16 (Clarendon Press, Oxford 1998).

- 6 Advocate General Capotorti in that case explained the relationship between the essential function and the specific subject-matter of trade marks more simply, stating that the specific subject-matter of a mark consists of those rights which enable it to perform its essential function (para. 4) but the ECJ does not seem to have wholly adopted that neat approach.
- 7 See para. 72 of the Opinion of Advocate General Jacobs in Joined Cases C-429/93 and C-436/93 -- *Bristol Myers-Squibb v. Paranova* [1996] ECR I-3457, 28 IIC 715 (1997), and, less explicitly, paras. 47 and 48 of the ECJ's judgment in that case. See also KEELING, "Intellectual Property Rights in EU Law Volume I: Free Movement and Competition Law" 156 (Oxford University Press, Oxford 2003).
- 8 *Hoffmann-La Roche*, para. 7
- 9 *Ibid.* Keeling deploys a similar argument at 149-153, but argues that nowadays trade marks are granted protection that allows their proprietors to prevent advertising that will damage their reputation. He also argues that the merchandising function of trade marks is now recognised. While both of these developments do not fall within the origin function of marks, this does not mean that the origin function has become less important. Instead, the scope of protection conferred on trade marks has been broadened and the role of trade marks in an advanced market economy such as the EU has changed somewhat.
- 10 F. K. BEIER, "Territoriality of Trademark Law and International Trade", 1 IIC 48 (1970). The article focuses particularly on trade mark rights and parallel imports.
- 11 See *supra* note 2. Professor Beier was also the defendant's legal adviser in the *Terrapin* case.
- 12 At 61.
- 13 At 62.
- 14 F.K. BEIER, "Industrial Property and the Free Movement of Goods in the Internal European Market", 21 IIC 131, 149 (1990).
- 15 See, for example, Case 192/73 -- *Van Zuylen v. HAG (HAG I)* [1974] ECR 731, where the ECJ found that the owner of the "HAG" mark in Luxembourg, which had at one stage been owned by a German company but was seized as enemy property during World War II, could not use its mark to oppose the sale of goods in Luxembourg under the "HAG" mark by the German company that had originally owned the mark (but was now a completely separate entity) because the marks had a common origin.
- 16 Council Directive 89/104 EEC to approximate the laws relating to trade marks.
- 17 Council Regulation (EC) No. 40/94 of 20 December 1993 on the Community trade mark.
- 18 For a discussion of the various potential functions of the trade mark system see PHILLIPS, "Trade Mark Law: a Practical Anatomy" 20-28 (Oxford University Press, Oxford 2003).
- 19 For a discussion of the balance to be struck by the guarantee of origin function and the guarantee of quality function, and the role that dilution can play in achieving that balance see DAVIS, "To Protect or Serve? European Trade Mark Law and the Decline of the Public Interest", 25 EIPR (4) 180-187 (2003).

- 20 BEIER, *supra* note 10, at 63.
- 21 That is not to say that protection of such functions was not available under unfair competition law, as Beier himself indicates later. However, by 1995, BEIER, in "The Development of Trademark Law in the Last Twenty-Five Years", 26 IIC 769-781 (1995), was prepared to acknowledge that: "*The past 30 years have witnessed a fundamental transformation from the registered trademark, acquired and maintained by the formal act of registration and renewal, to a trademark which -- after a "development period" of three to five years -- finds its legal justification in its use in the marketplace, and finally from that to a well-known mark, which is used as an advertising and marketing tool, freely assignable, often licensed and frequently the object of counterfeiting by third parties. ... To the extent that the trademark became known to the trade, it developed into an advertising tool which was licensable beyond the boundaries of similarity of goods and was enforceable against counterfeiting. Without relinquishing its traditional function as an indication of commercial origin and its related quality function, trademark protection has ventured into new dimensions in recent years. [Emphasis in the original.]*"
- 22 At 64.
- 23 *Ibid.*
- 24 However, in Part 5, Sec. 3.1 of its Opposition Guidelines, OHIM has said that "the enlarged protection afforded to marks with a reputation (under Art. 8(5) of Regulation 40/94) is not concerned with their origin function". Instead, the Office highlights other functions of trade marks that the ECJ has recognised as being worthy of protection: the guarantee function, the advertising function and the function of conveying a message or image to the consumer which is incorporated in the sign in question. The Opposition Guidelines can be obtained at this address: <http://oami.eu.int/EN/mark/marque/directives/opposition.htm>.
- 25 Directive 89/104, Arts. 4(4)(a) and 5(2).
- 26 Para. 6.
- 27 Para. 9.
- 28 For an account of the difficulties that have resulted from the need under the Directive for judges to determine "technical" trade mark disputes such as the scope of the essential function of a mark *see* SNELL, "European Courts and Intellectual Property: a Tale of Hercules, Zeus and Cyclops", 29 EL Rev (2) 178-197 (2004).
- 29 For commentary on the relationship between Art. 2 and the essential function *see* SCHMIDT, "Definitions of a Trade Mark by the European Trade Marks Regime -- A Theoretical Exercise?", 30 IIC 738-752 (1999), particularly at 745.
- 30 Case C-517/99 -- *Merz & Krell GmbH* [2002] ETMR 21 paras. 23 and 24. *See Koninklijke KPN Nederland*, also Case C-363/99, [2004] ECR I-0000 paras. 80 and 81 and Case C-104/01 -- *Libertel* [2003] ECR I-3793, [2003] ETMR 63, 35 IIC 56 (2004), para. 62 (although the stages in the argument are left implicit in that case).
- 31 Case C-299/99 -- *Koninklijke Philips v. Remington* [2002] ECR I-5475, [2002] ETMR 81, 33 IIC 849 (2002), para. 77.

- 32 GRIFFITHS, "Modernising Trade Mark Law and Promoting Economic Efficiency: An Evaluation of the Baby Dry Judgment and Its Aftermath", 1 IPQ 1-37 (2003) discusses the use of the essential function in the *Baby-Dry* case and its economic implications.
- 33 Case C-191/01 P -- *OHIM v. Wrigley (Doublemint)* [2004] ETMR 9, para. 30.
- 34 Case T-130/01 -- *Sykes Enterprises v. OHIM (Real People, Real Solutions)* [2002] ECR II-5179, [2003] ETMR 57, para. 18.
- 35 *Libertel*, *supra* note 30, para. 65.
- 36 *Libertel*, *supra* note 30, para. 65; Joined Cases T-146/02 to T-153/02 -- *Deutsche SiSi-Werke v. OHMI (Sachet à fond plat)* [2004] ECR II-0000, 35 IIC 574 (2004), para. 37.
- 37 These issues are particularly acute where non-traditional forms of trade marks such as sounds, colours and surface decorations are at issue. For a discussion of the issues germane to these sorts of marks *see* STROBELE, "The Registration of New Trademark Forms", 32 IIC 161-182 (2001).
- 38 *Merz & Krell*, *supra* note 30, paras. 24-31.
- 39 Case C-371/02 -- *Björnekulla Fruktindustrier AB v. Procordia Food AB* [2004] ECR 0000.
- 40 Paras. 22-26.
- 41 The ECJ also confirmed that the purpose of Art. 12 is to address the situation where a mark is no longer capable of fulfilling its essential function. As such, it is the mirror image of Art. 3, which addresses the situation where a sign is not capable *ab initio* of fulfilling the essential function (paras. 21 and 22).
- 42 Case C-291/00 -- *LTJ Diffusion v. Sadas Vertbaudet SA* [2003] ETMR 83, particularly paras. 44-51.
- 43 Much has been written about the *Arsenal v. Reed* litigation. For a thorough analysis of the various decisions and the cases leading up to them *see* NORMAN, "Time to Blow the Whistle on Trade Mark Use", (2004) IPQ 1-34.
- 44 Case C-206/01 -- *Arsenal v. Reed* [2003] ETMR 19.
- 45 It is worth noting that, by using the word "functions", the ECJ seems to be admitting the possibility of functions other than the essential function for trade marks.
- 46 Para. 51.
- 47 Para. 54.
- 48 Para. 50.
- 49 Para. 7.
- 50 Case C-39/97 -- *Canon Kabushiki Kaisha v. Metro-Goldwyn-Mayer Inc* [1998] ECR I-5507, [1999] ETMR 1, 30 IIC 72 (1999), paras. 26-29.
- 51 In Joined Cases C-427/93, C-429/93 and C-436/93 -- *Bristol Myers Squibb* [1996] ETMR 1, paras. 40-46. *See also* Case C-443/99 -- *Merck, Sharpe & Dohme GmbH v. Paranova Pharmazeutika Handels GmbH* [2002] ETMR 923, paras. 31-36.
- 52 *Bristol Myers*, paras. 47-50.
- 53 Case C-63/97 -- *BMW v. Deenik* [1999] ETMR 339.
- 54 Case C-100/02 -- *Gerolsteiner Brunnen GmbH v. Putsch GmbH* [2004] ECR I-0000.

- 55 At para. 16.
56 Para. 19.
57 Para. 25.
58 *Gerolsteiner*, para. 16.
59 Paras. 47-55.
60 Paras. 56-64.
61 See, for example, *Libertel*, *supra* note 30.
62 *Sykes Industries*, *supra* note 34, para. 18. See also Case T-360/00 -- *Dart Industries Inc v. Office for Harmonisation in the Internal Market (Trade Mark and Designs)* [2003] ETMR 32, para. 42.
63 Case C-337/95 -- *Parfums Christian Dior v. Evora BV* [1998] ETMR 26, 29 IIC 43 (1998), paras. 41-48.
64 ANTILL & JAMES have pointed to the central role of the essential function in "Registrability and the Scope of the Monopoly: Current Trends", 2004 EIPR 157, stating that "The [trade mark] system is carefully crafted to allow the trade mark proprietor to protect the essential function of their mark".
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